

increases even more

Apex, ETA. The apex of the wedge, where lines connecting peaks 1, 3, and 5 meet another line joining valleys 2 and 4, is what Wolfe calls the ETA or Estimated Time of Arrival. He writes, “I also do not count on the ETA as this adds just too many variables to the equation.” I’ll tell how often the ETA works later in this chapter.

Other rules. I added additional rules so that there should not be peaks or valleys between the turns poking above or below lines 1–3–5 and 2–4. In other words, if I found a peak between turns 1 and 3 that was higher than 3, I would throw away the pattern.

EPA. The Estimate Price at Arrival, when used with the ETA, provides useful timing when it works. The EPA is the signal line. When price touches the line, it’s a signal to close out the trade.

Look at [Figure 75.2](#). The ETA is the date of the triangle’s apex (which forms a day or two after point 5 in this example). The EPA is line 1–4, and it touches the stock right when it was predicted to (by the ETA). If you shorted the stock at peak 5 (or a day later) and covered the short at the EPA, you could have made money on the swing trade. In this example, however, the stock continued to drop all the way down to 50.33, well below the EPA of 64 and change.

Focus on Failures

[Figure 75.3](#) shows an example of what the failure of a Wolfe wave looks like. Points 1 through 4 mark the four turns of the Wolfe wave. Point 5 peaks above line 1–3, but that’s fine. It’s within the sweet spot created by drawing a line parallel to line 2–4 starting at peak 3. I don’t show that line, but it’s easy enough to imagine.

Volume surrounding peak 5 is ideal. It peaks at turn 5 and is higher than any volume spike going back to February. Going forward, it’s also higher than any spike going into June. Everything about this Wolfe wave suggests the stock will drop.